

My efforts to build Monte Carlo simulations that more adequately reflect the low interest rate environment at the present have led me to build assumptions for serial correlation and low initial bond yields into my analysis. For the Monte Carlo simulations I use in this book, the capital market expectations connect the historical averages from Robert Shiller's data set with the current market values for inflation and interest rates. This makes allowances for the fact that interest rates and inflation are currently lower than their historical averages, but it also respects historical averages and does not force returns to remain low for the entire simulation.

Exhibit 3A.1

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### Correlation Coefficients

Source: Calculated using data from Robert Shiller's website.